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standard chartered

Standard Chartered Kenya

Q1'2026 Earnings Note



Standard Chartered Kenya Q1'26 Earnings

2nd June 2026

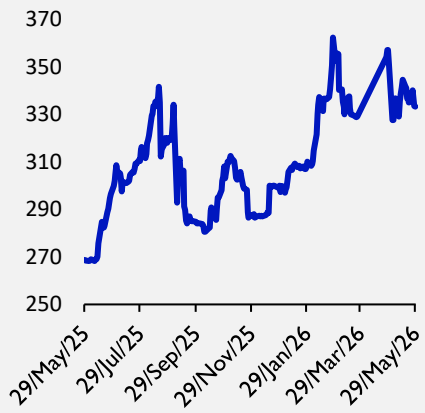
Ticker Information	
NSE Code:	SCBK
Issued Shares (Bn):	0.38
52-week high:	KES 370
52-week low:	KES 260

Recommendation	Current Price	Target Price
HOLD	**KES 331.00**	**KES 314.71**

Summary

- **Stanchart's earnings for the first three months came under pressure, registering a 26.3% y/y decline in profit after tax to KES 3.58 Bn. Net revenues from the lending business eased 23.3% y/y to KES 6.29 Bn, owing to a low-interest-rate environment that compressed margins.** On a brighter note, earnings from the non-funded segment rose 10.3% y/y to KES 3.74 Bn, while the stock of non-performing loans softened 26.5% y/y to KES 8.95 Bn, taking the NPL ratio to 5.3%. *(One of the best among Tier 1 banks)*

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(6.7%)	7.5%	10.0%	11.1%

Source: NSE, AIB-AXYS Research

Key Highlights

- **Earnings Mix:** Interest from loans and advances declined 21.7% y/y to KES 3.92 Bn, on account of a low-interest-rate environment, which gnawed at margins, despite a 20.0% y/y increase in loans and advances to KES 165.38 Bn. Additionally, interest from government securities declined 34.5% y/y to KES 2.26 Bn as the lender grappled with a softening yield curve. Interest from placements rose 23.1% y/y to KES 1.04 Bn. During the period under review, interest income ultimately declined 22.3% y/y to KES 7.22 Bn. On the expense side, interest expense on customer deposits eased 19.7% y/y to KES 0.81 Bn, while interest expense on placements and other liabilities dropped 70.9% y/y to KES 0.11 Bn, resulting in a 29.1% y/y drop in total interest expense to KES 0.92 Bn. On the non-funded side, fees and commission on loans came in 38.5% y/y lower at KES 39.23 Mn despite higher loan volumes, while other fees and other income rose 24.3% y/y and 34.1% y/y to KES 1.99 Bn and KES 0.93 Bn, respectively. Notably, the FX segment remained under pressure, as FX trading income dipped 24.4% y/y to KES 0.78 Bn, attributable to lower volumes and tighter margins as the Kenya shilling remained relatively stable. Total operating income declined 13.5% y/y to KES 10.03 Bn. In addition, the loan loss provision declined 20.7% y/y to KES 0.33 Bn as asset quality continued to improve, while the cost of risk eased to 0.2%.
- **Earnings Mix:** Gross non-performing loans declined 26.7% y/y to KES 8.95 Bn. However, on a quarterly basis, this represented a 1.3% increase from KES 8.83 Bn. Lower NPL levels and a 20.0% y/y increase in the loan book led to an improved NPL ratio of 5.3%. NPL coverage improved to 85.5% as the NPL stock reduced

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Balance Sheet Dynamics

Overall, the balance sheet recorded an expansion. Total assets increased 8.1% y/y to KES 413.27 Bn. During the period under review, the loan book increased 20.0% y/y to KES 165.37 Bn as credit appetite in the country continued to improve, supported by lower lending rates. At the same time, total investment securities increased by 6.0% y/y to KES 103.55 Bn. Behind this performance, there was a 5.1% y/y reduction in government securities to KES 87.82 Bn from KES 92.55 Bn, while other securities increased 208.0% y/y to KES 15.74 Bn from KES 5.11 Bn. Total deposits increased *(albeit at a slower rate compared to customer loans)* by 12.6% y/y to KES 321.15 Bn. We noted that shareholders' funds have continued to expand since Q3'25, reaching KES 69.82 Bn; however, on a year-on-year basis, this represented an 8.2% decline from KES 76.09 Bn.

Outlook

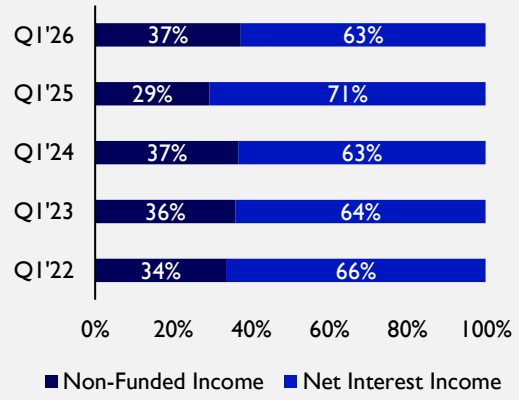
Going by the first three months, Stanchart started the year on a weaker footing compared to the same period last year, despite solid loan book growth. In our previous publication on Stanchart, we noted that FY'2026 should be a recovery year before earnings return to the levels recorded in 2024; our projections indicated that this would materialize in FY'27. Net earnings came under pressure, especially from the core lending business, as the low-interest-rate environment compressed margins. There is a glimmer of hope that earnings might catch up in the coming quarters, keeping in mind that last year's earnings were dragged down by higher staff costs, which impacted the income statement in Q3. We are impressed by Stanchart's asset quality. Despite strong loan book growth, NPLs have continued to decline, demonstrating prudent borrower screening and collection efforts. This trend will support the bottom line through lower provisioning requirements. We see room for growth for Stanchart through higher loan disbursements, which should support topline growth via higher interest income. Additionally, we expect growth to be supported by its wealth management business, which has remained resilient, offering diverse products while also reporting growth in asset size.

A key downside clouding the outlook is the Middle East conflict, which may weigh on credit demand while also affecting asset quality.

Recommendation

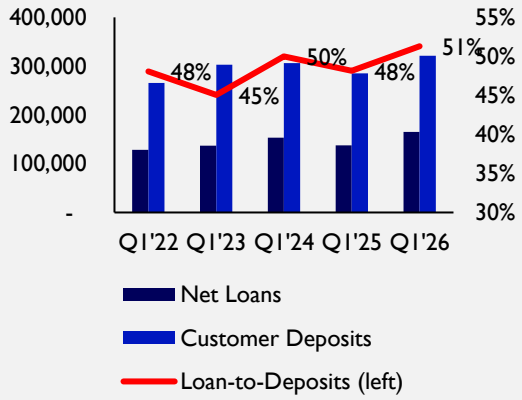
We maintain our HOLD recommendation on Standard Chartered Kenya, underpinned by its resilient core banking franchise and an attractive dividend. While the stock currently implies a downside of 4.9%, its dividend yield of 9.4% helps offset this downside, resulting in an estimated total return of 5.8%. At the prevailing market price, the counter is trading at a P/E multiple of 11.4x and a P/B multiple of 1.95x. We place our 12-month target price at KES 314.71 per share, implying a downside of approximately 4.9% from the current market level.

Chart 2: Earnings Mix



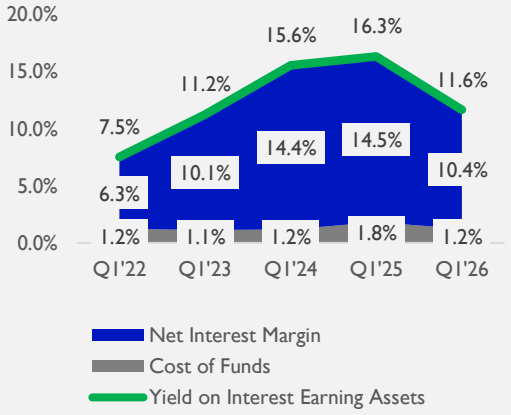
Source: Company filings, AIB-AXYS Research.

Chart 3: Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Margins Trends



Source: Company filings, AIB-AXYS Research.

Standard Chartered Kenya Q1'26 Earnings

Income Statement (KES Mn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	y/y % Change
Net Interest Income	4,922.46	6,893.95	8,272.60	8,207.64	6,294.81	▼ (23.3%)
Net non-Interest Income	2,486.70	3,867.75	4,791.95	3,389.87	3,739.62	▲ 10.3%
Total Operating income	7,409.15	10,761.70	13,064.55	11,597.51	10,034.43	▼ (13.5%)
Provision for Impairment	86.01	(790.92)	(547.92)	(412.52)	(327.00)	▼ (20.7%)
Total Operating expenses	(3,481.17)	(5,122.97)	(5,428.57)	(4,957.73)	(4,942.20)	▼ (0.3%)
Profit before tax	3,927.98	5,638.73	7,635.98	6,639.78	5,092.23	▼ (23.3%)
Profit after tax	2,764.73	4,026.94	5,616.22	4,858.02	3,579.39	▼ (26.3%)
Annualized EPS	29.34	42.73	59.59	51.55	37.98	▼ (26.3%)

Balance Sheet (KES Mn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	y/y % Change
Government Securities	89,148.94	92,900.67	50,340.75	97,655.58	103,556.23	▲ 6.0%
Loans and Advances	128,092.64	137,112.96	153,576.27	137,859.44	165,379.70	▲ 20.0%
Total Assets	**340,912.86**	**388,636.07**	**391,340.95**	**382,256.41**	**413,266.25**	▲ 8.1%
Customer Deposits	265,388.13	302,948.69	306,007.53	285,213.53	321,151.32	▲ 12.6%
Total Liabilities	285,289.72	328,254.39	323,376.72	306,166.82	343,441.49	▲ 12.2%
Shareholder's Funds	**55,623.14**	**60,381.69**	**67,964.23**	**76,089.59**	**69,824.75**	▼ (8.2%)

Ratio Analysis	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	y/y change
Spreads Analysis						
Yield on Interest Earning Assets	7.5%	11.2%	15.6%	16.3%	11.6%	▼ (4.7%)
Cost of Funds	1.2%	1.1%	1.2%	1.8%	1.2%	▼ (0.6%)
Net Interest Margin	6.3%	10.1%	14.4%	14.5%	10.4%	▼ (4.1%)
ROaE	17.7%	23.4%	25.1%	27.9%	16.3%	▼ (11.5%)
ROaA	2.8%	3.7%	4.0%	5.0%	2.8%	▼ (2.2%)
Profit Margin	37.3%	37.4%	43.0%	41.9%	35.7%	▼ (6.2%)
Operating Efficiency						
Cost to Income Ratio (Less LLP)	48.1%	40.3%	37.4%	39.2%	46.0%	▲ 6.8%
Cost to Assets (Less LLP)	1.0%	1.2%	1.3%	1.2%	1.2%	▼ (0.0%)
Loan to Deposit Ratio	48.3%	45.3%	50.2%	48.3%	51.5%	▲ 3.2%
Asset Quality						
Net NPL Ratio	16.4%	15.3%	10.2%	8.5%	5.3%	▼ (3.3%)
NPL Coverage	81.8%	86.8%	83.7%	78.7%	85.5%	▲ 6.8%
Cost of Risk	-0.1%	0.6%	0.4%	0.3%	0.2%	▼ (0.1%)
Capital Adequecy						
Core Capital/TRWA	15.4%	15.4%	18.4%	20.6%	18.8%	▼ (1.8%)
Total Capital /TRWA	17.6%	17.3%	18.5%	20.6%	18.9%	▼ (1.8%)
Liquidity	71.6%	73.8%	66.9%	73.6%	64.4%	▼ (9.2%)

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